

cent was raised by those in Asia. The China region was not included in the study. Why we kept semiconductor chip startups in focus is because these make a perfect example of startups in the vertical of electronics manufacturing and design.

"The design cycles in the semiconductor as well as the high-tech industry are very long. Typically, this is around 18 to 24 months. If you're starting to design a chip today, it might see daylight only after two years or more. Keeping this in mind an investor will surely look at the design cycle time, and the key differentiator is the top thing to decide whether you are eligible for the funding or not," notes Sanjeev Keskar, managing director, Arrow Electronics India.

Investors have a keen eye for startups that are into design-led manufacturing than just manufacturing. **Poornima Shenoy, CEO, Hummingbird, explains that a startup relying on its own design team makes investors confident about the future of a company and hence investments made.**

"Startups led by their design houses give much more than just assembling or, as we call it, manufacturing services to clients. But a lot of clients opt for design-led manufacturing as the same helps them save money by not having to pay to different vendors. Moreover, the prototype to final stage testing before mass production can take place at

What Makes a Pitch Perfect?

- Pain you are solving
- What differentiates your startup from others
- Plan for taking the solution from Power-point to the prototype stage
- Target audience information
- The world before your product
- The world after your product
- What makes you confident that customers will pay for it?
- What is your path and map for scaling up?
- What is the path to profitability?
- Specs vs price plan and mapping
- How are you going to invest the money?

Confident and Not So confident

- Unless you have something that differentiates from others in terms of applications, funding companies won't show interest
- What you will do with the funding, how you will return it, and what are the long-term plans should be made clear at all the stages
- Team formation is of critical value. Have at least three co-founders on board. More co-founders help investors assess risk in a better manner
- Focus on the design cycle time as the design cycle times are very long (at least 18 months). Anticipating the market for two to three years is not that easy
- You might create a wonderful product, but what if it turns out to be a white elephant? Investors won't be interested in the same at all!
- The right architecture for becoming techno-commercially successful is a must
- As the technology advances, it becomes easy for big names to launch a counter solution within months of what a startup launches. Unless the differentiator is big, and you can scale up fast, investors won't feel secure in funding your startup.
- Getting to know what customers want is the first necessity. Investors love startups who know their target audience
- Prove that you can do the market analysis right. If you do the market analysis part right, investors might come to you instead of you going to them
- Investors don't like Me Too ideas at all! Me Toos decrease your funding chance drastically
- Knowing the product's life cycle is most important. TAM analysis is very-very important for semiconductors

one point itself," explains Shenoy.

It is to be noted here that India has become a global hub for electronics design. Different startups in the country design close to 2,000 chips in the country every year. While these numbers have been on a rise during the last ten years, the number of startups entering this arena is low when compared to countries like China and Taiwan.

"Don't just look at VCs for funding. Reaching out to corporate houses can prove to be a game-changing strategy. On close analysis you will find that a lot of big names can benefit from your solutions and align them with their business goals," says C. Muthukrishnan, CEO, Semiconductor Fabless Accelerator Lab (SFAL).

What makes investors confident and not so confident

The first key towards gaining an investor's confidence lies in differentiation. Venture capitalists (VCs), as per Keskar, do not usually prefer companies following the rat race. Next comes the number of founders in a company. Investors, as per Keskar, are more confident in investing into startups that have multiple founders rather than an individual founder.

"For a minute, think of yourself as the investor and your startup as somebody else's venture; would you now

invest? Tailoring the pitch can make a lot of difference to your chances of securing the funding round. **What you are going to do with funding, what differentiates you from others and what are your plans to scale up should always be a part of the pitch,"** advises Dr P.K. Sundararajan, founder and CEO, BluArmor.

Next in line comes the plan around potential customers or, in simple words, how well does a startup know its customers. Tarun Verma, managing partner, Silicon Catalyst explains that while it has become easy to create products that are packed with technology and features, creating what customers want still remains difficult. Customers will not pay for features that are not useful to them. Investors, as per Tarun Verma, can easily differentiate between startups that know their target audience and the ones that do not.

"Getting to know what the customers want should be a startup's top priority. Many tend to be tech-savvy and neglect the real pain points. The investor appetite has always been there. Startups need to remember that technology investors have been doing this for years and they have the ability to sniff out extraordinary from good products," points out Verma.